

Solo 401(k) 2025 Contribution Limits

A guide for members

If you're a business owner with no employees (other than possibly your spouse), the Solo 401(k)—also known as an Individual 401(k)—is a retirement plan designed specifically for self-employed individuals. This plan allows you to contribute as both the employee and employer, giving you the ability to save more for retirement compared to other retirement accounts. In this guide, we'll walk through the 2025 contribution limits and how you can maximize your savings.

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What is a Solo 401(k)?

A Solo 401(k) is a retirement account for self-employed individuals or business owners who have no employees other than their spouse. Unlike traditional 401(k) plans, a Solo 401(k) allows you to contribute in two ways:

1. **Employee Contributions**—you contribute a portion of your salary or net earnings from self-employment.
2. **Employer Contributions**—you, as the business owner, can also contribute based on your business profits.

This dual contribution structure allows you to save more for retirement than you would with other retirement plans.



Contribution Limits for 2025

For the 2025 tax year, the IRS has set the following contribution limits for Solo 401(k) accounts:

Employee Contribution (Deferral)

- **Limit:** \$23,000
- **Additional catch-up contribution (age 50 and over):** \$7,500
 - **Total employee contribution (if age 50 or older):** \$30,500

As the employee of your business, you can contribute up to \$23,000 of your compensation into your Solo 401(k). If you're age 50 or older, you can make an additional catch-up contribution of \$7,500, bringing your total employee contribution to \$30,500.

Employer Contribution (Profit Sharing)

- **Limit:** 25% of your net earnings (up to \$66,000)

As the employer, you can contribute up to 25% of your net earnings (after business expenses and half of your self-employment taxes).

The total combined contribution (employee + employer) cannot exceed \$66,000 for the year. If you're age 50 or older, you can contribute up to \$73,500 in total with the catch-up contribution included.

Things to Note

- **Net earnings** refers to your business's profit after expenses, minus half of your self-employment taxes.
- The **employee contribution limit** applies across **all** 401(k) plans you have, including any through a spouse or other employer.
- The **employer contribution** applies only to your Solo 401(k).

How to Maximize Your Contributions

To make the most of your Solo 401(k) contributions, aim to contribute as **both an employee and employer**, and, if you're 50 or older, don't forget about the **catch-up contributions**. In 2025, the contribution limits are generous, offering you an excellent opportunity to build your retirement savings. With Collective's new retirement feature, managing your Solo 401(k) has never been easier.

Total Combined Contribution Limits	
Under Age 50	Over Age 50
\$66,000 (employee + employer contributions)	\$73,500 (employee + employer contributions, including catch-up)

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